PIP:INSIGHT

FOREX SCHOOL · COURSE 9 OF 15 · INTERMEDIATE

Supply & Demand Zones

Marking the zones where price departed with strong imbalance — areas of unfilled institutional interest — and trading the first return to those zones.

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Supply & Demand Zones

The Complete Course

PIP:Insight Forex School — Course 9 of 15

First Edition — 2026

> *This book is educational content only. It is not financial advice, investment advice, or a recommendation to buy or sell any instrument. Every chart, price and trade described in these pages is an illustration of technique — a teaching example, not a signal. Trading foreign exchange carries a substantial risk of loss and is not suitable for everyone. Never trade with money you cannot afford to lose.*

How to Use This Book

This is the ninth course in the PIP:Insight Forex School, and it deals with one of the most seductive ideas in retail trading: the notion that you can see where the big money sat down, and be waiting when price comes back to the table.

Supply and demand zone trading, done properly, is a disciplined framework for reading imbalance on a chart. Done badly, it is a religion — complete with mythology about "smart money" that conveniently explains every win and excuses every loss. This book teaches the framework and politely dismantles the mythology. You will learn to mark zones, grade them, refine them across timeframes, and trade the first return to them with defined risk. You will also learn why the story behind the zones matters far less than the behaviour in front of you.

Read the chapters in order. Chapter 1 builds the core concept — imbalance — and everything else stands on it. Chapters 2 to 5 are the identification engine: what makes a zone valid, what the classic formations look like, and how to grade one zone against another. Chapters 6 to 8 are the trading engine: the first return, timeframe refinement, and the unglamorous mechanics of entries, stops and invalidation. Chapter 9 shows the method working — and failing — in worked case studies, and gives you a review process to make the whole thing yours.

Work with charts open. Every time this book describes a formation, go and find three examples on your own platform before reading on. The figures in this book are deliberately clean; real charts are not, and the gap between the two is where your skill develops. Keep a notebook of zones you mark, and — crucially — of what price did when it returned. That record, not this book, is what will eventually convince you the method deserves your money. Nothing here is a signal. Everything here is a hypothesis you are being taught to test.

Expect to spend three or four weeks on this course. Zones look obvious in hindsight. Training your eye to mark them in advance takes honest repetition.

Chapter 1 — Imbalance: The Engine Behind Every Move

Why price actually moves

Strip away the indicators, the news feeds and the folklore, and a price chart records exactly one thing: the ongoing argument between buyers and sellers about what something is worth. When buying interest and selling interest are roughly matched, price drifts sideways and the chart goes quiet. When they are not matched — when one side wants in far more urgently than the other side wants out — price moves, and it moves fast. That mismatch is imbalance, and it is the engine behind every meaningful move you have ever seen on a chart.

Here is the part that matters for this course: imbalance leaves footprints. A market that explodes away from a level did so because, at that level, orders on one side overwhelmed the other. The candles tell you this happened. Long-bodied candles, small wicks, gaps between closes and opens, a sequence of bars in one colour — these are the visual residue of urgency. Price did not negotiate its way higher; it was dragged.

It helps to understand the mechanics one level down. At any moment, a market holds two kinds of orders: passive limit orders resting in the book, waiting at their chosen prices, and aggressive market orders that cross the spread to transact right now. Price stays still when aggression on both sides is absorbed comfortably by the resting orders. Price leaps when aggressive orders on one side chew through every resting order at one price and have to reach for the next, and the next, and the next. A wide-bodied candle is not "lots of buying" in the abstract; it is buying so urgent it emptied several shelves of the order book in one go. That emptying is why strong moves often travel further than seems reasonable — there was simply nothing in the way — and it is why the place the emptying started is worth remembering.

Supply and demand trading is built on a simple observation about these footprints. Levels from which price departed violently are interesting, because something happened there. Perhaps large participants filled part of a position and would like to fill more. Perhaps trapped traders on the wrong side will bail out at breakeven. Perhaps other technicians simply see what you see and act on it. You do not know which — and this is the first honest thing this book will insist on. The "unfilled institutional orders" story is a model, not a verified fact. No retail chart shows you the order books of banks and funds. What the chart shows you is behaviour: price has a documented tendency to react when it returns to the origin of a strong move. We trade the behaviour. We stay agnostic about the mythology.

Demand zones: where buyers overwhelmed sellers

A demand zone is the price area from which a strong rally launched. Picture a market drifting down, pausing for a handful of quiet candles, and then ripping upward with three wide-bodied bullish bars. That quiet pause — the base — is your demand zone. The violence of the departure tells you that, at those prices, buying interest crushed selling interest. The working hypothesis is that some of that buying interest may remain, or that the level will attract fresh buying when price revisits it. Either way, the zone marks a price district where buyers have previously shown up in force.

Figure. A demand zone: price bases quietly, then departs upward with conviction. The shaded area marks the origin of the imbalance — the district where buyers overwhelmed sellers and where a later return may find interest again.

Notice the language: zone, area, district. Not line. Imbalance does not occur at a single tick. The base has a high and a low, and the reaction — if it comes — can begin anywhere inside it. Traders raised on horizontal lines find this uncomfortable at first. Get comfortable. The width of the zone is not imprecision; it is honesty about how markets actually transact.
Supply zones are the mirror image: a pause, then a violent departure downward. Sellers overwhelmed buyers, price left in a hurry, and the base of that departure marks a district of previous selling interest. Everything in this book applies symmetrically to both.

What imbalance is not

Two corrections before we go further, because this is where beginners hurt themselves.

First, not every candle cluster is a zone. Markets pause constantly. A base only earns the name when the departure from it is genuinely strong — a concept Chapter 3 will pin down with criteria rather than vibes. If you mark every sideways shuffle on your chart, you will have a chart covered in rectangles and a method that means nothing.

Second, a zone is not a promise. It is a location where the odds of a reaction are, in your tested experience, better than random. Zones fail. Fresh, beautifully formed zones fail. The entire edge — if you have one — lives in the combination of a modest win rate with asymmetric risk-reward, which is why

Chapter 8 spends so long on stops and invalidation. Anyone who tells you a properly drawn zone "must" hold is selling mythology, usually literally.

Hold on to the core idea, though, because it is genuinely powerful: strong moves have origins, origins are visible, and returns to origins are the most information-rich moments a chart offers. The rest of this course is the craft of reading them.

> **CHAPTER 1 IN ONE SENTENCE:**
>
> Price moves because of imbalance between buyers and sellers, and the visible origins of violent moves — supply and demand zones — mark districts where that imbalance may be waiting when price returns.

Chapter 2 — Supply and Demand vs Traditional Support & Resistance

Same family, different logic

If you have worked through the earlier courses in this school, you already know classical support and resistance: horizontal levels validated by multiple touches, where price has repeatedly stalled or reversed. Supply and demand zones live in the same family — both are frameworks for anticipating where price might react — but the underlying logic is close to opposite, and the differences change how you trade.

Classical support and resistance is a popularity contest. A level matters because price has respected it several times; each additional touch is treated as further evidence. The logic is behavioural and self-reinforcing: enough traders see the level, enough orders cluster there, and the level works because people believe it works.

Figure. Classical resistance: a level proven by repeated touches. Traditional technicians read each rejection as added validation — the more touches, the more real the level. Supply and demand logic reads the same chart very differently.

Supply and demand logic inverts the touch count. In this framework, a zone is at its most potent before it has been retested at all, because whatever interest created the original departure has not yet been absorbed. Every return to the zone consumes some of that interest — orders get filled, trapped traders get their exit, the reaction gets weaker. Where the classical trader sees a triple-tested level gaining strength, the zone trader sees a larder being steadily emptied. Third and fourth touches are not confirmation; they are consumption.

Neither camp is simply right. Both describe real, observable tendencies, and mature traders often hold both models at once. But you must know which logic you are trading on any given setup, because the two disagree precisely where it costs money: on how many touches a level can absorb.

Zones, not lines — and why the difference is practical

The second big difference is geometry. Classical levels are drawn as lines; zones are drawn as areas, from the top of the base to the bottom of it (with refinements we will cover in Chapter 3). This is not cosmetic.

A line forces false precision. Price reverses two pips in front of your support line and you were "wrong" to wait; price knifes five pips through it and you are stopped out before the real bounce. Every trader who has used horizontal lines knows both experiences intimately. A zone accepts that large interest is worked over a range of prices — nobody fills serious size at one tick — and gives you a defined district in which to plan an entry and, crucially, a defined boundary beyond which the idea is wrong.

That boundary is the quiet superpower of zone trading. Because a zone has a far edge, invalidation is structural rather than arbitrary: if price trades decisively through the entire zone, the hypothesised interest either was not there or has been consumed, and you are out. Compare that with the line trader's eternal dilemma of how much "breathing room" to give a level. The zone answers the question for you.

Where each framework earns its keep

Be honest about the trade-offs, because there are real ones.

Classical support and resistance is easier to learn, easier to see, and — because so many participants watch the same obvious levels — often genuinely reactive. Round numbers, prior daily highs and lows, well-tested horizontals: these remain some of the most reliable furniture on any chart, and this course does not ask you to un-learn them.

Supply and demand zones demand more judgement. Identifying a valid base, grading departure strength, deciding freshness — these are skills, and Chapters 3 to 5 exist because they do not come free. In exchange, zones offer things lines cannot: earlier entries (a fresh zone needs no prior touch to be tradeable), built-in invalidation, and a coherent story about why later touches decay rather than strengthen.

The frameworks also collide productively. A fresh demand zone sitting directly on top of a classical, multi-year support level is a confluence worth noticing — two independent logics pointing at the same district. A fresh zone sitting in the middle of nowhere, against a well-established classical level just below it, is a warning that your zone may only be a pause on the way to the level everyone else is watching.

A short illustration of the collision, framed as ever as a teaching example. Imagine a level around 1.2500 on a major pair: classical traders see three clean bounces over two months and mark strengthening support. A zone trader looks left and sees that the original departure from 1.2500 was explosive, but that each subsequent bounce has been shallower than the last — first sixty pips, then thirty-five, then fifteen. Same chart, opposite forecasts for touch number four. The classical read says the level is proven; the zone read says the interest is nearly exhausted and the shrinking bounces are the receipts. Neither trader is guaranteed to be right on the day, but only one of them has a framework that predicted the decay, and the decay was visible in advance to anyone measuring it. That habit — measuring the reactions rather than merely counting them — is the practical takeaway from this whole comparison.

One caution to close: because zone trading feels more sophisticated, traders often assume it is automatically better. It is not automatically anything. It is a different lens with different failure modes, and the only way to know whether it suits your market, timeframe and temperament is the testing regime this school keeps banging on about. The pub version: lines count votes, zones count ammunition — and you had better know which one you are counting.

CHAPTER 2 IN ONE SENTENCE:

Classical support and resistance gains credibility with every touch, while supply and demand logic says each touch spends a zone's stored imbalance — two useful, opposing lenses you must never confuse mid-trade.

Chapter 3 — Identifying Valid Zones: Base, Departure and Strength

The anatomy of a zone

Every valid zone has two parts, and you need both: a base and a departure.

The base is the pause — a compact cluster of candles where price stopped trending and moved sideways. It is the market catching its breath, and in our working model, the district where positions were built. A good base is tight and brief: think one to five candles with overlapping ranges and relatively small bodies. The candles' colours barely matter; their compression does. A sprawling, twenty-candle chop is not a base, it is a range, and ranges get their own treatment in another course.

The departure is the leaving. From the base, price must exit with visible urgency: wide-bodied candles, closes near their extremes, little overlap between bars, minimal wicking back into the base. One explosive candle can be enough. Three is lovely. The departure is your evidence of imbalance — it is the entire reason the base matters. A base without a strong departure is just a pause that resolved politely, and polite resolutions are not what we are hunting.

To draw the zone, mark the extremes of the base: for a demand zone, from the lowest low of the base to the highest body-top within it (some traders use the full high; pick one convention and keep it — consistency beats theology). For supply, mirror it. Your rectangle should hug the base, not the departure candles. The move out of the zone is evidence, not real estate.

Figure. A supply zone with both required components: a tight base where price paused, and an urgent downward departure with wide-bodied candles. The rectangle is drawn around the base only — the departure is the proof, not part of the zone.

The strength test: how price left tells you who was there

Not all departures are equal, and grading them is the single most important judgement in this whole method. Ask three questions of every candidate.

How big were the candles? Compare the departure bars to the average bar of the preceding twenty or so candles. A departure candle two or three times the recent average range is shouting. A departure candle that blends in with its neighbours is mumbling. You want shouting.

How far did price travel? A genuine imbalance produces follow-through. If price left the base and ran a distance several multiples of the zone's own height before pausing again, the departure was real. If it stumbled ten pips and stalled, the "imbalance" was a rounding error. Many zone traders demand that the departure at minimum cleared a prior swing high or low — taking out structure on the way — before they will grade a zone as tradeable. It is a sensible filter: a move strong enough to break structure is a move somebody funded.

How clean was the exit? Count how often price re-entered the base after first leaving it. The ideal departure never looks back — price exits and does not touch the base again before running. Each immediate re-entry muddies the story and, in the freshness terms of Chapter 5, partially spends the zone before you have even marked it.

A candidate that passes all three questions is a zone. A candidate that passes one is a doodle. Between those, judgement — which is why your notebook of marked zones and outcomes, started in the How to Use section, is not optional homework.

A repeatable marking routine

Discretionary methods die of inconsistency, so turn identification into a drill you run identically every time. Work top-down on a clean chart — no indicators needed for this job — and scan left to right for explosive moves first. This ordering matters: beginners hunt for bases and then squint hoping the departure qualifies. Do it backwards. Find the violence, then walk left to find its origin.

The full drill runs in six steps, always in the same order. One: find an explosive move — the eye-catching candles. Two: walk left to locate its base. Three: check the base is tight, one to five candles. Four: grade the departure on size, distance and cleanliness of exit, and note whether it broke structure. Five: draw the rectangle around the base extremes using your fixed convention. Six: log the zone with its grades. Ten minutes per chart once the drill is habitual, and the order is the point — a routine that starts with the base will talk you into weak departures, because you will have grown fond of the base before you ever test the exit.

Then log the zone before price returns to it. Write down the pair, timeframe, zone boundaries, your strength grades, and the date. This habit does two things. It builds the dataset that will eventually tell you whether zones work for you. And it forces you to commit in advance — because a zone marked after the bounce is not analysis, it is autobiography. Hindsight will flatter you all day if you let it. The log is how you stop letting it.

Expect, in your first weeks, to mark too many zones. Everyone does. The cure is ruthless application of the strength test and a monthly cull of your chart: any zone you cannot defend out loud in one sentence — "tight base, three-times-average departure, broke the prior high" — gets deleted. A chart with three defensible zones beats a chart with thirty hopeful ones, every single time.

CHAPTER 3 IN ONE SENTENCE:

A valid zone is a tight base plus an urgent, structure-breaking departure, drawn around the base alone, graded by candle size, travel distance and cleanliness of exit — and logged before price ever comes back.

Chapter 4 — Rally-Base-Drop and Drop-Base-Rally Formations

The four shapes on every chart

Zone traders classify formations by three letters: what price did coming in, the pause, and what price did going out. Rally and drop, base in the middle. That gives four combinations, and knowing which one you are looking at tells you whether the zone is a continuation story or a reversal story.

Drop-Base-Rally (DBR): price falls, pauses, then rallies hard. This is a reversal demand zone — sellers drove price down into the base, and buyers not only absorbed them but reversed the flow entirely. Rally-Base-Drop (RBD) is its mirror: price rises, pauses, then drops hard. A reversal supply zone. These are the headline acts, because a full reversal of direction is the loudest possible statement of imbalance. Whoever bought inside a DBR base did so against the prevailing move and won. That takes conviction, and — in our carefully agnostic model — usually size.

Rally-Base-Rally (RBR): price rises, pauses, then rises again. A continuation demand zone — the base is a mid-trend refuelling stop. Drop-Base-Drop (DBD) is the bearish twin. Continuation zones are more common, form faster, and are individually less dramatic. They matter because trends are staircases, and each landing is a fresh zone laid beneath (or above) the market.

Figure. A drop-base-rally formation: the decline into the base, the compact pause, and the emphatic rally out. Because the departure reverses the incoming move entirely, DBR bases are graded among the strongest demand zones on a chart.

Is one family better? Opinion time, clearly labelled as such: reversal zones (DBR, RBD) formed at meaningful chart locations tend to produce the cleaner, larger reactions, because they mark the exact turning points of swings — but they are rarer and easier to misdiagnose. Continuation zones offer more opportunities and align you with the trend, at the cost of individually shallower reactions. A sensible intermediate trader leans on continuation zones in trending conditions and saves reversal zones for well-chosen extremes. Test both. Your journal will tell you which one you actually trade well, which is a different question from which one is theoretically stronger.

Reading the incoming move

The three-letter labels hide a subtlety: the approach into the base carries information too.

For reversal formations, the best bases form after an extended, arguably exhausted incoming move — a drop that has already travelled a long way, accelerated, and started printing climactic candles. A DBR that forms after such a decline is catching sellers at their most overextended. A DBR that forms three candles into a fresh downtrend is trying to catch a falling piano on its first bounce, and deserves scepticism regardless of how pretty the departure looks.

Structure gives you a sharper tool for the same judgement. In a downtrend of lower highs and lower lows, the first DBR whose rally breaks above the most recent lower high has done something no previous bounce managed: it has changed the market's character. That break of structure — covered as "change of character" in our market-structure course — is the difference between a bounce inside a downtrend and a candidate reversal. Zones that create a change of character are a different class of zone.

Figure. A change of character: after a series of lower highs and lower lows, the rally out of a base finally breaks a prior lower high. A demand zone whose departure achieves this has evidence of reversal, not just a pause in the selling.

For continuation formations, the question is simpler: is the trend itself healthy? An RBR inside a clean staircase of higher highs and higher lows is with the current. An RBR forming after the trend has already gone vertical and parabolic is late — you are marking the last refuelling stop of a move that may be out of road. Fresh trends make trustworthy continuation zones; ageing trends make souvenirs.

Common misreads and how to avoid them

Three formations impersonate zones and cost real money.

The mid-air base. Price pauses, departs strongly — but the whole structure sits in the middle of a larger range, far from any higher-timeframe level, with a well-established zone or classical level directly beyond it in the direction of your hoped-for reaction. When price returns, it slices through your zone on its way to the level that actually matters. The cure is Chapter 7's habit: always locate your zone within the higher-timeframe map before trusting it.

The wide, sloppy base. Six, eight, ten candles of overlapping chop, then a departure. The departure may be genuine, but a wide base gives you a wide zone, and a wide zone gives you a distant invalidation point and a mediocre risk-reward before you have even started. Some traders refine such zones down to the final candle or two before departure; Chapter 8 covers the trade-off. Others simply skip them. Skipping is underrated.

The news candle base. A scheduled release detonates, price gaps out of a "base" that was really just pre-news drift. The departure is spectacular; the information content is questionable, because the imbalance came from a headline, not from positioning at that price district. Reasonable traders disagree here. This book's editorial line: mark news-created zones, trade them smaller or not at all, and let your own logged results settle the argument.

The pattern in all three misreads is the same. The departure dazzles, and the dazzled trader forgets to interrogate the base and its location. Formations are read from left to right, in context, or not at all.

CHAPTER 4 IN ONE SENTENCE:

The four formations — DBR and RBD for reversals, RBR and DBD for continuations — are read by their full shape and their location in the trend, with reversal zones earning extra trust only when their departure breaks structure.

Chapter 5 — Grading Zones: Freshness, Speed and Time at Level

Freshness: the first-among-equals criterion

If this course allowed you only one grading criterion, it would be freshness: has price returned to this zone since it formed?

A fresh zone — sometimes called unfilled or untested — has had no retest at all. Whatever caused the original departure, none of it has yet been absorbed by a return visit. In the institutional-orders model, the resting interest is intact; in the plainly behavioural model, nobody has yet been able to trade the level, so the reaction potential is unspent. Both stories point the same way: the first return to a fresh zone is the highest-quality moment that zone will ever offer, which is why the next chapter is devoted to it entirely.

Every subsequent touch degrades the zone. Not always dramatically — a strong zone can produce a second usable reaction — but directionally, reliably, each visit consumes something. By the third or fourth touch, you should assume the larder is bare, and note the dark corollary: a level tested many times, with an obvious cluster of stops behind it, starts attracting the wrong kind of attention. Repeated touches build a visible shelf of orders, and visible shelves get raided.

Figure. A stop run through a well-worn level: price spikes beyond the obvious line, harvests the clustered stops, and reverses. Heavily retested zones stop being reaction points and start being targets — one reason zone logic distrusts the third and fourth touch.

Grade freshness in three tiers and write the tier on the zone itself: Fresh (no touches), Tested (one touch, reaction held), Spent (two or more touches, or any touch that penetrated deeply). Trade the first tier, consider the second with reduced expectations, and treat the third as furniture — context for reading the chart, not a basis for risk.

Speed and distance: grading the departure

Chapter 3 gave you the strength test for validating a zone. Grading goes one step further and ranks valid zones against each other, because on any given week you will have more zones than trades, and you need a defensible way to choose.

Score the departure on two axes. Speed: how explosive were the exit candles relative to the recent average range? A departure of consecutive candles at two to three times average range, closing on their extremes, earns top marks. Distance: how far did price travel before its first meaningful pause, measured in multiples of the zone's own height? A move of three or more zone-heights is emphatic; less than one zone-height means the "imbalance" barely dented the market, whatever the candles looked like.

The two axes catch different failures. A fast departure that travels nowhere suggests a flurry that met immediate opposition. A long, grinding advance with no explosive candles suggests drift rather than urgency. You want both boxes ticked, and you should be honest when they are not: half the value of a written grading system is that it stops you upgrading mediocre zones on days you are bored and want a trade. Boredom is a position size all of its own, and it is always too big.

Time at level, and assembling the scorecard

The third criterion is the base's duration: how long did price spend at the level before departing?

Short is strong. A base of one to three candles that then erupts implies the imbalance was so lopsided the market could not linger — the pub version is that nobody got a second chance at those prices. A base that sprawls across a dozen candles implies two-way business was being done comfortably, which is the opposite of imbalance. As a rule of thumb many zone traders use: the best zones are the ones price seemed embarrassed to stay in.

There is a wrinkle worth knowing. A long consolidation can still matter as structure — big ranges are meaningful — but it makes a poor precision zone, because its width wrecks your risk-reward and its comfort contradicts the urgency story. File long bases under "context", short bases under "candidates".

Now assemble the scorecard, and keep it brutally simple. For each candidate zone, score one point each for: fresh; departure speed at least twice average range; departure distance at least two zone-heights; base of three candles or fewer; departure broke a structural high or low; zone agrees with the higher-timeframe picture (Chapter 7's business). Six criteria, six possible points.

One question the scorecard deliberately leaves out deserves a word: age. Does a fresh zone go stale simply because months have passed without a return? Traders argue about this more than the evidence justifies. The honest position is that time alone is a weak signal — a fresh daily zone can produce a sharp reaction a year after forming — but time correlates with things that do matter. The further back a zone formed, the more likely the market's whole context has changed: different volatility regime, different trend, different participants caring about different prices. So rather than a hard expiry date, apply a context check to old zones: if the higher-timeframe structure that existed when the zone formed is still recognisably intact, the zone stays on the chart; if the map has been redrawn since, the zone goes to the graveyard regardless of its untouched status. Freshness measures whether the interest was spent. Age asks whether anyone still remembers why it was there.

An A-grade zone scores five or six. Most of what you mark will score three, and the single biggest performance upgrade available to an intermediate zone trader is the willingness to let three-point zones go untraded. The scorecard's thresholds are starting values, not commandments — recalibrate them against your own logged outcomes after fifty or so observations. But score in writing, before the retest, every time. A grade assigned after the bounce is worthless, and you already know why.

CHAPTER 5 IN ONE SENTENCE:

Grade every zone in writing before price returns — freshness first, then departure speed and distance, then brevity of the base — and earn your results by refusing the mediocre majority.

Chapter 6 — The First Return: Why It Matters Most

The logic of the first touch

Everything in this course funnels toward a single event: the first time price returns to a fresh, well-graded zone. This is the moment the method is actually about. Not the zone's formation — that is history. Not the third revisit — that is archaeology. The first return.

The reasoning follows from everything so far, so let us assemble it once, cleanly. The departure told you that at this price district, one side overwhelmed the other. Freshness tells you that whatever produced that imbalance has not yet been revisited. The first return is therefore the first opportunity for any remaining interest to act — resting orders in the institutional story; breakeven exits from trapped traders; fresh entries from every technician who marked the same base you did. Three mechanisms, one direction, and you need precisely none of them individually verified for the aggregate behaviour to be testable on your charts. Mark fifty fresh zones in advance, log what the first touch does, and you will have your own evidence — which is worth more than this book's assurances and infinitely more than a YouTube thumbnail's.

There is also a subtler reason the first touch is special: it is the only touch with a clean experimental setup. By the second and third visits, the zone's behaviour is contaminated — by the first reaction's outcome, by the stops it attracted, by everyone who watched it. The first return tests the zone; later returns test the crowd's memory of the zone. Related, but not the same trade.

Figure. First return to a demand area: price departs, stays away, then makes its initial revisit and reacts. The first touch is the zone's highest-information moment — later touches trade the crowd's memory of the level rather than the level itself.

How price approaches the zone matters

Two zones of identical grade can deserve different treatment depending on how price comes back to them, and reading the approach is an intermediate skill worth real study time.

The slow drift is the approach you want. Price returns in small, overlapping candles, weak momentum, a corrective grind — the market wandering back without conviction. Sellers easing price into a demand zone through drift are not pressing an advantage; they are running out of enthusiasm precisely where buyers previously showed force. When the reaction comes off such an approach, it often comes early, sometimes from the front edge of the zone.

The fast plunge is the approach that should tighten your stomach. Price returns in wide-bodied, urgent candles — the same signature of imbalance you prized in the departure, now pointed at your zone. Fresh urgency meeting old interest is a genuine collision, and the zone loses these collisions often enough that many experienced traders simply stand aside when the approach candle dwarfs the departure candles. At minimum, a violent approach argues for waiting: let price reach the zone, let the first reaction actually print, and only then consider the confirmation-style entries Chapter 8 details. The zone is a location, not a tractor beam. It proposes; the tape disposes.

Watch, too, for the approach that stalls short of the zone. Price repeatedly probes toward your demand area and keeps getting bought a few pips before reaching it. Frustrating — your order never fills — but informative: interest may be front-running the level. Chasing is still a mistake; missing a trade costs nothing but feelings. Note the behaviour, keep the zone marked, and wait for the touch or let it go.

Later touches: diminishing returns, honestly stated

What about the second touch? Here the book owes you honesty rather than a slogan, because "only ever trade the first touch" is cleaner than the evidence.

A strong zone that produced a sharp first reaction, where the retest was shallow — price dipped into the upper portion of a demand zone and left quickly — can retain force for a second visit. Plenty of respectable zone traders take second touches at reduced size with tightened expectations. What the framework does insist on is the direction of the adjustment: expectations shrink with each touch, never grow. Demand more confluence for a second touch, take less size, expect a shallower reaction, and treat a deep first penetration — price traversing most of the zone before reacting — as near-total consumption regardless of how the bounce eventually looked.

By touch three, you are no longer trading a supply and demand zone in any meaningful sense; you are trading a classical level with a zone-shaped costume on, and you should use Course 4's rules for that, not this book's. Write your own boundary — first touch only, or first and qualified second — into your trading plan explicitly, and let your logged results move the boundary rather than your mood after a missed move. The psychology here is predictable: the zone that reacted beautifully without you on touch one becomes irresistible on touch two, precisely when its quality has fallen. Regret is a terrible zone analyst.

And when a fresh zone's first touch fails outright — price arrives and simply carves through — take the gift hidden in the loss: unambiguous information. The interest was not there. Delete the zone, log the outcome, and note what was on the other side of the chart, because strong breaks of fresh zones frequently reveal the more important level beyond. First touches do not just offer the best trades; they give the fastest, cleanest answers. That is why they matter most.

CHAPTER 6 IN ONE SENTENCE:

The first return to a fresh zone is the method's core event — the only uncontaminated test of the level — best traded off a weak, drifting approach, with every later touch demanding shrunken size and expectations or no trade at all.

Chapter 7 — Refining Zones Across Timeframes

The map and the magnifying glass

A zone means little in isolation. The same demand zone can be a high-quality opportunity or an obvious trap depending on one question: where does it sit on the bigger map? Multi-timeframe work answers that question, and for zone traders it does a second job the indicator crowd never gets — it lets you shrink a big zone into a precise one.

Use three timeframes with roughly a factor of four to six between them. A common stack for intermediate traders: daily for context, four-hour for zone selection, one-hour (or fifteen-minute) for refinement and entry. The exact stack matters less than the discipline of assigning each timeframe one job and refusing to let it do the others.

The top timeframe is the map. Here you ask only: what is the structural trend, and where are the major zones and levels? A four-hour demand zone that sits inside a daily demand zone, in a daily uptrend, has the map behind it. The same four-hour zone sitting just below a fresh daily supply zone is asking to be run over — you are proposing to buy directly into the district where the higher timeframe's sellers previously showed force. The single most common catastrophe in zone trading is a technically perfect small zone in a hostile big picture, and it is entirely avoidable with a thirty-second glance upward.

Figure. Three timeframes, three jobs: the higher chart sets direction and marks the major districts, the middle chart selects the zone, the lower chart refines the entry. Zones that agree across the stack are the ones worth risk.

Nested zones: refining the entry

Now the distinctive trick. Higher-timeframe zones are wide — a daily base can span a hundred pips or more, which is fine as context and dreadful as an entry ticket. But inside a daily base, the lower timeframe almost always reveals structure: the four-hour or one-hour chart shows its own miniature bases and departures, the small mechanisms that built the big move.

Refinement means finding the lower-timeframe zone nested inside the higher-timeframe one — typically the final compact base immediately before the big departure — and using that as your actual entry district. The higher-timeframe zone tells you where interest lives; the nested zone tells you where, within that district, the last and often most aggressive positioning happened.

The payoff is arithmetic, not mysticism. Suppose a daily demand zone is 90 pips tall — an illustration, as ever, not a recommendation. Entering at its top edge with a stop below its bottom risks roughly 100 pips with spread and buffer. The nested one-hour base near the lower half of that daily zone might be 25 pips tall. Enter there, stop beyond the nested base with the same buffer, and the identical directional idea now risks around 30 pips. If the reaction target is 150 pips away, refinement has turned a 1.5-to-1 trade into roughly 5-to-1. Same zone, same thesis, three times the asymmetry.

The cost — and there is always a cost — is fill probability. A refined entry deep in the zone will sometimes never be reached: price dips into the top of the daily zone, reacts, and leaves without touching your nested base. You will watch trades you correctly analysed depart without you. This is the standing trade-off of precision entries: better risk-reward, fewer fills. Neither choice is wrong. Choose deliberately, write the choice into your plan, and stop re-litigating it every time the other choice would have paid.

Conflicts, and the rule that resolves them

Sooner or later every stack disagrees with itself: daily in an uptrend, four-hour printing fresh supply overhead, one-hour breaking down. What now?

The rule that resolves most conflicts: higher timeframe wins on direction; lower timeframe wins on timing; and when they cannot be reconciled, the trade is smaller or skipped. Take the example above and run it through the rule. The daily uptrend sets the working direction: long ideas at daily demand remain the priority. The fresh four-hour supply overhead is not an invitation to short against the daily trend; it is a reason to lower expectations for any long taken beneath it — the first opposing structure is close, so the asymmetry test of Chapter 8 will likely fail, and the honest conclusion is often "no trade until price clears or consumes that supply". The one-hour breakdown, meanwhile, is timing information only: it may be the start of the pullback that finally delivers price into the daily demand zone you actually want. Read that way, the "conflict" dissolves into a sequence — wait, watch the four-hour supply get resolved, and let the map's zone come to you. In practice, an intermediate zone trader gets most of the benefit from two habits. First, prefer trades where the middle-timeframe zone lies on the map-timeframe's side — demand zones in higher-timeframe uptrends, supply zones in downtrends. Counter-map trades are not forbidden, but they are advanced, and they should be rarer and smaller in your book. Second, never let the refinement timeframe overrule the map. The one-hour chart will print seductive little supply zones all the way up a daily bull trend; that is what pullbacks look like under a magnifying glass. The magnifying glass is for focusing, not for navigating.

A last practical note on housekeeping, because multi-timeframe zone charts rot quickly. Keep higher-timeframe zones in one visual style and refined entry zones in another, delete spent zones weekly, and cap the total rectangles on any chart at a number you can defend — half a dozen is plenty. A chart you cannot read at a glance is not analysis, it is wallpaper. The whole point of the stack is clarity: one map, one shortlist, one refined district where you are willing to do business.

CHAPTER 7 IN ONE SENTENCE:

Give each timeframe one job — direction from the map, zone selection in the middle, refinement below — and use nested bases inside big zones to convert wide interest districts into tight, asymmetric entries.

Chapter 8 — Entries, Stops and Invalidation Inside Zones

Two ways in: limit at the zone, or confirmation inside it

However good your zones, the account moves only on execution, and zone execution comes in two honest flavours.

The limit entry — often called the set-and-forget approach — places a resting order at the zone's near edge (or at your refined nested base), with the stop beyond the far edge, before price ever arrives. Its strengths are real: you cannot flinch, you cannot chase, you are filled at your price or not at all, and the trade's risk-reward is locked at its theoretical best. Its weakness is equally real: you buy every first touch, including the ones where price arrives like a train and goes straight through. The limit entry is a bet that your grading — freshness, strength, map agreement — has already done the filtering, because nothing will filter at the moment of touch.

The confirmation entry waits for price to reach the zone and then demands evidence before committing: a strong rejection candle inside the zone, a bullish engulfing bar off a demand area, or — for the structurally minded — a lower-timeframe shift, such as the one-minute or five-minute chart breaking its sequence of lower highs inside the zone. You enter after this evidence, with a stop below the reaction low or the zone's far edge. You sacrifice entry price and some risk-reward; you gain a filter that removes many straight-through failures, and — not to be underrated — you gain the psychological ease of acting with the tape rather than against it.

Which is better? Wrong question; they are different products. The limit entry suits A-grade fresh zones with weak approaches and a trader who can stomach clean, mechanical losses. Confirmation suits violent approaches, second touches, counter-map ideas — every situation flagged as marginal earlier in this book — and traders who freeze at the touch. Many professionals run both: limits on their best grades, confirmation on everything else. Whatever you choose, choose it before the session. The decision made while price is plunging toward your zone is the worst decision you own, and it will reliably be some incoherent blend of the two.

Stops: beyond the zone, plus the truth about wicks

Zone logic gives you something precious that most methods lack: a structural stop. If the zone represents a district of resting interest, then price trading decisively through the entire district falsifies the idea. The stop therefore belongs beyond the far edge of the zone — below a demand zone's low, above a supply zone's high — plus a buffer for spread and noise.

The buffer matters more than beginners think, because of an uncomfortable fact: zones get wicked. Price will pierce a zone's far edge by a few pips, harvest the stops resting there in the obvious place, and then produce exactly the reaction you planned for — without you. This is not persecution; it is the market doing what markets do around visible liquidity, and the far edge of a well-known zone formation is visible liquidity.

Figure. The wick through the edge: price pierces the boundary of the zone, takes the stops parked at the obvious level, and then reverses. A buffer beyond the far edge — sized from the instrument's recent volatility — keeps a routine probe from becoming a needless loss.

Size the buffer from volatility, not from hope — a fraction of the daily average true range, or a fixed multiple of recent candle ranges, applied identically every time. And accept the arithmetic that follows: a wider stop means a smaller position for the same account risk. The stop distance is set by structure; the position size is set by the stop; the account risk per trade — the one to two percent ceiling this school teaches from Course 1 — is set in advance and never negotiated. That ordering is the whole of money management, and it runs in exactly one direction.

Invalidation is bigger than the stop

Here is the distinction that separates intermediate traders from order-placers: the stop is where your loss is realised; invalidation is where your idea dies. They are usually the same price. They are not the same concept, and three situations prove it.

Invalidation before entry. Your limit order rests at a fresh demand zone; before touching it, price breaks below a nearby structural low, confirming heavy selling pressure into your level. The zone is now a worse bet than when you planned it. Cancelling an unfilled order because conditions degraded is not cowardice; it is the plan updating on evidence. Write the conditions that would trigger a cancellation into the plan itself.

Invalidation by behaviour inside the zone. Price enters your demand zone and does nothing — no reaction, just a slow grind deeper, candle after candle closing lower within the district. Your stop is not hit, but nothing you predicted is happening. Time-based and behaviour-based exits — out if no meaningful reaction within a set number of candles — are legitimate tools, and traders who use them consistently trade the method; traders who sit through the grind hoping are merely long and wrong with a rectangle for company.

Invalidation by close, not by touch. Decide in advance what "decisively through" means: a wick beyond the far edge (already buffered for), or a full candle close beyond it on your entry timeframe? Most zone traders treat the close as the verdict and the wick as noise, which is coherent — but only if your stop placement already reflects that choice. A close-based invalidation with a tight wick-based stop is a contradiction that will charge you money every week until you resolve it.

Figure. The geometry of a zone trade: entry inside the district, stop a buffer beyond the far edge, target at the first opposing zone or structural level. If the resulting ratio is poor, the answer is to skip the trade — never to shrink the stop into the zone.

Targets, briefly, because they complete the geometry: the natural first target is the first meaningful opposing structure — the nearest fresh supply zone above your demand entry, or a prior structural high. If the distance from refined entry to that target is less than about twice your stop distance, the trade fails the asymmetry test, and the correct response is to pass. Shrinking the stop to manufacture a ratio is the oldest self-deception in the book, and the zone will not respect your spreadsheet.

CHAPTER 8 IN ONE SENTENCE:

Choose limit or confirmation entries in advance by zone grade, place stops a volatility-sized buffer beyond the zone's far edge, size positions from the stop, and treat invalidation — before entry, inside the zone, or by close — as a broader discipline than the stop order itself.

Chapter 9 — Zone Trading Case Studies and Review Method

Case study one: the textbook first return

Every element of this course, assembled once. All three case studies are illustrations of technique on plausible, representative price action — teaching constructions, not trade recommendations and not claims about any real, dated market.

The map: a daily chart of a major pair in a clear uptrend, higher highs and higher lows, with a fresh daily demand zone formed six weeks earlier — a three-candle base, a departure at roughly three times average range that broke the prior swing high, price currently pulling back toward it. Scorecard: fresh, fast, travelled, brief base, broke structure, map agrees. Six of six.

The refinement: inside the daily base, the four-hour chart shows a two-candle nested base immediately before the departure, sitting in the lower third of the daily zone — a 28-pip district within a 95-pip one, in this illustration.

The approach: price drifts down over four sessions in small, overlapping four-hour candles. Weak approach into an A-grade fresh zone — the framework's best-case configuration. The trader places a limit at the nested base's upper edge, stop a volatility buffer below its low for roughly 35 pips of risk, first target below the nearest four-hour supply zone about 110 pips above. Price touches the nested base, wicks 6 pips into it, and reverses over the following two sessions to reach the target. Ratio a touch over 3-to-1.

The teaching point is not the win — a coin can win. It is that every decision was made before the touch: the grade, the entry style, the stop, the invalidation conditions, the target. At the moment of contact there was nothing left to decide. That is what this method looks like when it is being done, and it is quieter than the internet suggests.

Case study two: the failure, and case study three: the trap avoided

Same trader, same rules, different outcome — because a method you only rehearse winning is not a method.

Case two: a fresh four-hour supply zone in a daily downtrend, scoring five of six. Price rallies toward it — but the approach is violent: three consecutive four-hour candles at well over twice average range. The plan's rule for violent approaches is confirmation entry only. Price reaches the zone, prints one small bearish candle — insufficient by the plan's definition — then closes a full four-hour candle above the zone's far edge. No entry ever triggers; the zone is deleted; price runs on for two hundred further pips. Cost of the failed zone: nothing but attention. The confirmation filter did precisely its job, and the log records a zone failure without a trade loss — a distinction worth its weight in gold over a hundred repetitions.

Case three: a beautiful one-hour drop-base-rally, explosive departure, fresh — and sitting 30 pips beneath a fresh daily supply zone in a daily downtrend. Scorecard: map disagrees, and the plan forbids counter-map trades below A-grade with confluence. Pass. Price later returns, bounces 20 pips from the one-hour zone — enough to sting the trader watching — then is engulfed by the daily supply reaction and breaks through. The near-miss bounce is the important detail: bad trades often pay a little before they cost a lot, and a review process that only grades outcomes would have called the pass a mistake. Grade decisions, not outcomes. It is the oldest lesson in this school and the least learned.

The review method: turning zones into your own evidence

This book has repeatedly promised that your log, not its assertions, will justify the method. Here is the review process that keeps the promise. It runs weekly and monthly, and it reviews two populations — trades taken and zones marked — because the untraded zones are half your evidence.

Weekly, for every zone whose first return occurred: record the grade you assigned in advance, the approach type, what price did at the touch (reaction to target-distance, partial reaction, straight through), and whether you traded it and how. Twenty minutes, no editorialising. Monthly, ask the dataset four questions. Do my A-grade zones outperform my B-grades — is the scorecard earning its keep? Do weak approaches outperform violent ones in my markets? What actually happens on second touches I was tempted by? And where do my losses concentrate — is one recurring context (news candles, counter-map trades, wide bases) doing most of the damage?

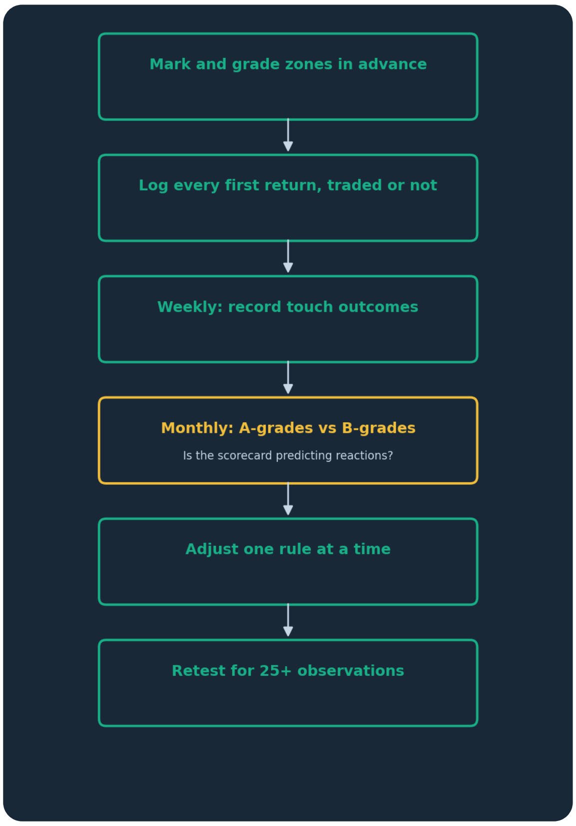

Figure. The review loop that converts a borrowed method into personal evidence. Zones logged before the touch and reviewed in populations — not trade by trade — are what let you adjust rules on data instead of on the last painful outcome.

Then change one rule at a time, and give the change at least twenty-five fresh observations before judging it. Traders who overhaul everything after a bad fortnight never learn what worked, because they never let anything run long enough to tell them. And keep a graveyard file of deleted zones with the reason for deletion; six months of graveyard is the fastest cure for the hindsight bias that makes every zone look obvious after the bounce.

A closing word for the course. Supply and demand trading will always carry a whiff of mythology — the invisible institutions, the secret footprints. You do not need the mythology, and you should hold it loosely. What you need is the observable, testable core: violent departures mark districts of past imbalance; fresh districts, returned to for the first time, react often enough and cleanly enough to be worth structured risk — or, in your markets, they do not, and your log will say so. Either answer makes you a better trader than belief ever will. Mark the zones in advance, grade them in writing, trade the first return with the stop beyond the far edge, and let the evidence — yours, not anyone else's — decide how big a place this method earns in your trading.

CHAPTER 9 IN ONE SENTENCE:

Worked examples show the framework deciding everything before the touch — wins, filtered failures and avoided traps alike — and a weekly-and-monthly review of graded zones, traded or not, is how the method stops being borrowed and becomes your own evidence.

The One-Page Version

1. Price moves on imbalance, and imbalance leaves footprints: a violent departure marks the district it came from. That district — the base — is your zone.
2. A valid zone needs both parts: a tight base of roughly one to five candles, and an urgent departure with outsized candles that ideally breaks structure. No strong departure, no zone.
3. Zones are areas, not lines. Draw the rectangle around the base only, and treat the far edge as your structural invalidation boundary.
4. Zone logic inverts classical support and resistance: touches spend a zone rather than strengthen it. Fresh beats tested; by the third touch you are trading a different method entirely.
5. Grade in writing, before the retest: freshness, departure speed (twice average range), departure distance (twice zone height), brief base, structure break, higher-timeframe agreement. Trade the five-and-six-point zones; let the threes go.
6. The first return is the event. It is the only uncontaminated test of the zone, and a weak, drifting approach into it is the best-case configuration; a violent approach demands confirmation or a pass.
7. Use a three-timeframe stack with one job each — map, zone selection, refinement — and enter at nested lower-timeframe bases inside big zones to turn wide interest into tight, asymmetric risk.
8. Stops go a volatility-sized buffer beyond the far edge; position size is derived from the stop, never the reverse. Expect wicks at obvious edges, and know before entry whether a wick or a close kills the idea.
9. Invalidation is bigger than the stop: cancel unfilled orders when conditions degrade, exit on dead behaviour inside the zone, and pass on any trade whose first opposing structure sits closer than about twice the stop distance.
10. Hold the institutional story loosely — it is a model, not a fact. Log every graded zone's first return, traded or not, review in populations, change one rule at a time, and let your own evidence decide what this method is worth.

Test Yourself — 15 Questions

1. In supply and demand terms, what does a strong departure from a base primarily evidence? A) That a moving average crossover occurred B) That buying and selling interest were severely mismatched at that price district C) That the market is about to range D) That institutional orders are verifiably resting there

2. How does zone logic treat the third or fourth touch of a level, compared with classical support and resistance logic? A) Both treat it as stronger B) Zone logic sees added validation; classical logic sees consumption C) Zone logic sees consumed interest; classical logic sees added validation D) Both treat it as meaningless

3. When drawing a demand zone, the rectangle should enclose: A) The base and all departure candles B) The base only C) The departure candles only D) The entire prior downtrend

4. Which candidate best passes the strength test from Chapter 3? A) A 12-candle base with a departure matching average range B) A 2-candle base with a departure three times average range that broke the prior swing high C) A 4-candle base whose departure immediately re-entered the base twice D) A base with no departure but strong volume

5. A drop-base-rally (DBR) formation is best described as: A) A continuation supply zone B) A reversal demand zone C) A continuation demand zone D) A reversal supply zone

6. Why does a departure that breaks a prior structural high upgrade a demand zone? A) It guarantees the zone will hold B) It shows the move had enough force to change the market's character, not just pause it C) It means the zone is no longer fresh D) It confirms institutional participation as a fact

7. In Chapter 5's grading framework, the single most important criterion is: A) The colour of the base candles B) Whether the zone sits at a round number C) Freshness — whether price has returned since formation D) The zone's width in pips

8. Why does zone logic distrust heavily retested levels? A) They attract clustered stops that can be run, and each touch consumes reaction potential B) They are invisible to most traders C) They only exist on low timeframes D) They violate exchange rules

9. Which approach into a fresh demand zone is the framework's best-case configuration? A) Three consecutive wide-bodied bearish candles B) A news spike directly into the zone C) A slow drift of small, overlapping corrective candles D) A gap through the entire zone

10. Why is the first return described as the only "uncontaminated" test of a zone? A) Because spreads are lowest on first touches B) Because later touches are influenced by the first reaction's outcome and the crowd's memory of the level C) Because brokers fill first touches faster D) Because volume data resets after each touch

11. In the three-timeframe stack, the refinement (lowest) timeframe's job is: A) Setting overall direction B) Overruling the higher timeframe when they conflict C) Locating nested bases inside larger zones for precise entries D) Marking major weekly levels

12. The main cost of a refined (nested) entry deep inside a higher-timeframe zone is: A) A worse risk-reward ratio B) A lower probability of being filled C) A wider stop D) Higher commissions

13. Where does zone logic place the protective stop? A) At the zone's near edge B) A volatility-sized buffer beyond the zone's far edge C) Exactly at the last swing point inside the zone D) At a fixed 10 pips on every trade

14. Price enters your demand zone and grinds slowly lower for many candles without any reaction, though your stop is untouched. The chapter's guidance is: A) Add to the position since the price is better B) Move the stop wider to give it room C) Treat dead behaviour as invalidation and consider a behaviour- or time-based exit D) Remove the stop until the reaction comes

15. This book's position on the "unfilled institutional orders" explanation is that it is: A) A verified fact visible in retail platforms B) A useful model — but you should trade the observable behaviour and test it in your own log C) A myth, which proves zones cannot work D) Only true during the London session

Answer Key

1. **B** — A violent departure is the visible footprint of severely mismatched buying and selling interest at that district.
2. **C** — Zone logic says each touch spends stored imbalance, while classical logic reads repeated touches as growing validation.
3. **B** — The zone is drawn around the base alone; the departure is the evidence for the zone, not part of it.
4. **B** — Tight base, outsized departure candles and a structure break tick all three strength-test boxes.
5. **B** — Price fell in, based, and reversed upward: the definition of a reversal demand zone.
6. **B** — Breaking structure shows the departure reversed the market's character rather than merely pausing it; nothing guarantees a hold.
7. **C** — Freshness leads the scorecard because untested zones retain their full, unspent reaction potential.
8. **A** — Well-worn levels build visible stop clusters that invite runs, and each visit consumes remaining interest.
9. **C** — A weak, drifting approach shows the opposing side losing urgency exactly where prior force appeared.
10. **B** — Later touches test the crowd's memory of the level; only the first touch tests the zone itself.

11. **C** — The lowest timeframe refines entries via nested bases; direction always belongs to the map timeframe.
12. **B** — Deep refined entries improve risk-reward but are sometimes never reached, so fill probability falls.
13. **B** — Beyond the far edge plus a volatility-sized buffer, because obvious edges get wicked before real reactions.
14. **C** — Dead behaviour inside the zone invalidates the idea even with the stop intact; time and behaviour exits are legitimate tools.
15. **B** — The institutional story is a plausible model, not a verified fact; the tradeable content is the logged, testable behaviour.

Appendix — The Glossary, in Pub English

Every term used across the PIP:Insight school — explained the way a mate would across a table. 40 terms, no jargon left standing.

Ask
The price you buy at. Always a touch higher than the bid — the gap is the spread.

Base currency
The first currency in a pair. The price says how much of the second one unit of this buys.

Bearish
Expecting a price to fall. The bear swipes down.

Bid
The price you sell at.

Breakout
Price escaping a level it's been stuck under (or over). Real ones keep going; fake ones snap back and take beginners' money with them.

Bullish
Expecting a price to rise. The bull tosses up.

Candlestick
One bar of price history: open, high, low, close, drawn so you can read the fight at a glance.

Central bank
A country's money authority (Bank of England, the Fed). The single biggest force in forex.

Cross
A pair without the US dollar in it, like EUR/GBP.

Drawdown
How far your account has fallen from its peak. The number that decides whether you survive long enough to be right.

Economic calendar
The diary of scheduled news releases — rate decisions, jobs numbers, inflation prints — that move markets.

Entry
The price where your trade opens.

Exotic
A major currency paired with a smaller economy's. Wide spreads, sudden moves — not a beginner's playground.

Fill
The actual price your order executed at, which is not always the price you asked for.

Fundamentals
The economic story behind a currency: growth, inflation, interest rates, politics.

Going long
Buying — profiting if the price rises.

Going short
Selling first — profiting if the price falls. Completely normal in forex.

Leverage
Trading with more exposure than your deposit. Multiplies both directions — the loaded word in retail trading.

Liquidity
How easily you can trade without moving the price. Majors have oceans of it; exotics have puddles.

Lot
A standard position size: 100,000 units of the base currency. Minis (10k) and micros (1k) exist for sane humans.

Major
A heavyweight dollar pair: EUR/USD, GBP/USD, USD/JPY and friends. Tightest costs, deepest markets.

Margin
The deposit your broker holds while a leveraged trade is open.

Margin call
The broker telling you your account can no longer support your open trades. You never want the call.

Pip
The market's inch — the standard unit of price movement, usually the fourth decimal place.

Pipette
A tenth of a pip. Fine print.

Position sizing
Deciding how much to trade so a normal loss stays boring. The most underrated skill in the game.

Quote currency
The second currency in a pair — the one the price is counted in.

R-multiple
Profit or loss measured in units of what you risked. Risked £50, made £100 — that's +2R. The only honest scoreboard.

Range
A market bouncing between a floor and a ceiling, going nowhere with enthusiasm.

Resistance
A ceiling where selling has repeatedly shown up.

Retest
Price returning to a broken level to check it holds from the other side. The polite entry.

Risk-reward
What you stand to make versus what you're risking. 2:1 means the win pays double the loss.

Slippage
The difference between the price you wanted and the price you got, usually in fast markets.

Spread
The gap between bid and ask — the cost of every trade, paid on the way in.

Stop loss
The pre-set exit that caps a loss when the idea is proven wrong. Non-negotiable in our book.

Support
A floor where buying has repeatedly shown up. The market's memory.

Swap
The small overnight charge (or credit) for holding a position, driven by interest-rate gaps.

Take profit
The pre-set exit that banks the win at your target.

Trend
The market's prevailing direction — higher highs and higher lows up, the mirror down.

Volatility
How violently a market moves. Opportunity and danger are the same number.

Continue Your Journey

This book is Course 9 of 15 in the PIP:Insight Forex School. Everything below is free, forever:

- **The free video series** for this course — the PIP:Insight YouTube channel.
- **The Trading School** — 6 levels, 36 lessons, quizzes: pip-insight.co.uk/school.
- **The Trade Journal** — equity curve, discipline score, priced playbook: pip-insight.co.uk/journal. Your data never leaves your device.
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